UPSC EPFO · APFC RECRUITMENT TEST · FOUNDATION LAYER · MODULE 6 · CHAPTER F6.4

Depreciation, Goodwill and Inventory Valuation

Chapter F6.4 — Three Valuation Problems, and Why Each One Is a Concept from F6.2 Doing Its Work

Module	**Foundation Layer — Module 6 — Accounting, Auditing & Statistics**
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NOTE · HOW TO USE THIS DOCUMENT

Three topics in one chapter, because each is a **single concept from F6.2 applied**:

- **Depreciation** is the going concern concept plus matching — spread the cost over the years served
- **Inventory valuation** is prudence — the lower of cost and net realisable value
- **Goodwill** is the intangible-but-real asset from F6.3 §4.2 given a price

That is why they sit together rather than in three thin chapters. If you hold the concept, the rules follow.

HIGH YIELD · WHY THIS IS ONE OF THE TWO KEY CHAPTERS IN MODULE 6

Blueprint §7.1 names **goodwill** and **inventory valuation** explicitly in the high-yield list, and lists depreciation methods among the areas where accounting is tested (ANALYTICAL ESTIMATE).

All three are also **numerically testable**, and about 15% of the paper is numerical or applied (PYQ-DERIVED, Blueprint §6). Each of the three has two or three standard formulas, and that is a small, closed set. Section 7's worked answers matter as much as the theory here.

Table of Contents

0. How This Chapter Works

STUDY SESSION · CHAPTER F6.4 — THE SIX SESSIONS

1. **Session 1** — What depreciation is, and is not (§1) ★★★★★
2. **Session 2** — The methods, and the SLM versus WDV comparison (§2) ★★★★★
3. **Session 3** — Legal framework and the accounting treatment (§3) ★★★★☆
4. **Session 4** — Goodwill: nature and the four valuation methods (§4) ★★★★★
5. **Session 5** — Inventory valuation under AS 2 (§5) ★★★★★
6. **Session 6** — Consolidation: the numerical drills (§6 practice)

Then 30 graded questions in §6. About **three and a half days** at two hours.

1. Session 1 — What Depreciation Is, and Is Not ★★★★★

1.1 The definition, and the sentence that carries the marks

Depreciation is the **gradual, continuing and permanent** reduction in the book value of a fixed asset, arising from use, the passage of time, or obsolescence.

> **MUST MASTER · ALLOCATION, NOT VALUATION**
>
> **Depreciation is a process of allocation, not of valuation.**
>
> That single sentence is the most examinable line in the session, and it rules out a whole family of wrong options. Depreciation does **not** attempt to show what the asset is worth today. It spreads a cost already incurred across the periods that benefit from it — which is the **matching** concept from F6.2 §3.4 doing exactly what it is for.
>
> So all of the following are **wrong**:
>
> - "The purpose of depreciation is to show the asset at market value"
> - "Depreciation is provided to reflect the fall in the asset's market price"
> - "If an asset's market value rises, no depreciation is needed"
>
> And one more consequence worth holding: **depreciation is a non-cash expense.** No money leaves the business when it is charged. It reduces profit without reducing cash, which is why the cash flow statement adds it back (F6.5).

1.2 Causes and objectives

Causes: wear and tear from use; **efflux of time**; **obsolescence** (becoming outdated by better technology); **depletion** for wasting assets such as mines; accident; and, rarely, a permanent fall in value.

Objectives: to ascertain **true profit** (matching); to show a **true financial position**; to provide funds for eventual replacement; to ascertain cost correctly; and to comply with legal requirements.

1.3 The three factors you need before you can compute anything

1. **Cost of the asset** — the purchase price *plus* everything needed to bring it into use: freight, installation wages, erection charges, duty. This is exactly the capital expenditure list from F6.2 §5.4
2. **Estimated useful life**
3. **Estimated residual (scrap) value**

> **Depreciable amount = Cost - Residual value**

1.4 Four words that are not synonyms

Word	Applies to	Example
Depreciation	**Tangible** fixed assets	Machinery, building
Amortisation	**Intangible** assets	Patents, copyrights
Depletion	**Wasting** assets — natural resources	Mines, quarries, oil wells
Obsolescence	A **cause**, not a method	A machine superseded by better technology

A matching question on these four is close to guaranteed value

CHECK YOURSELF · SESSION 1

1. Define depreciation. Which single sentence about allocation must you be able to state?
2. Is depreciation a cash expense? What follows for the cash flow statement?
3. Name five causes and four objectives
4. What three factors are needed to compute depreciation? What is the depreciable amount?
5. Distinguish depreciation, amortisation, depletion and obsolescence

2. Session 2 — The Methods ★★★★★

2.1 Straight Line Method

Also called the **fixed instalment** or **original cost** method.

> **Annual depreciation = (Cost - Residual value) ÷ Useful life**

The charge is the **same every year**, because the rate is applied to the **original cost**. The book value falls in equal steps and can reach the residual value — or **zero**, if residual value is nil.

> Cost ₹1,00,000, scrap ₹10,000, life 9 years » (1,00,000 - 10,000) ÷ 9 = **₹10,000 a year**

2.2 Written Down Value Method

Also called the **diminishing balance** or **reducing balance** method.

> **Annual depreciation = Rate × Opening book value**

The charge **falls every year**, because the same rate is applied to a shrinking base. The book value therefore **never becomes zero**, however long the asset is held.

> Cost ₹1,00,000 at 10% WDV: Year 1 = ₹10,000 (book value ₹90,000) · Year 2 = ₹9,000 (₹81,000) · Year 3 = **₹8,100**

If you are given cost, scrap and life and asked for the rate:

> **r = [1 - (S/C)^(1/n)] × 100**

2.3 The comparison that gets asked

	SLM	WDV
Basis	**Original cost**	**Opening book value**
Annual charge	**Constant**	**Decreasing**
Book value at end of life	Can reach residual value or **zero**	**Never zero**
Suited to	Assets with even use — furniture, patents, leases	Assets needing rising repairs — plant, machinery, vehicles
Recognised by the **Income Tax Act**	No	**Yes**
Computation	Simpler	Slightly harder

THINK LIKE UPSC · THE REPAIRS ARGUMENT, WHICH IS THE REAL REASON WDV EXISTS

This is the point candidates miss, and it makes an excellent statement-based question.

Repairs on an asset generally increase as it ages. A new machine needs almost nothing; a ten-year-old machine needs constant attention.

Now put the two charges together:

- Under **SLM**, depreciation is flat while repairs rise — so the **total burden on profit rises**

every year for the same asset

- Under **WDV**, depreciation falls while repairs rise — so the two tend to **offset**, and the total

burden is **more uniform** across the asset's life

That uniformity is the substantive argument for WDV, and it is why WDV suits plant and machinery. Note the trap that sits beside it: it is **SLM** whose book value can reach zero, and **WDV** whose book value cannot. Candidates reverse this constantly.

KNOW · THE OTHER METHODS, AT RECOGNITION LEVEL

You need to recognise these names, not compute them:

- **Sum of years' digits** — an accelerated method, like WDV in effect
- **Annuity method** — treats the asset as an investment; considers interest on capital locked up
- **Depreciation fund / sinking fund method** — the depreciation amount is invested outside the

business so that funds exist for replacement

- **Insurance policy method** — a policy is taken instead of investing
- **Machine hour rate** — depreciation per hour of running
- **Production units / depletion** — per unit extracted or produced. Used for mines
- **Revaluation method** — used for **loose tools, livestock, packages**, where each item is too small

to track

CHECK YOURSELF · SESSION 2

1. Give both formulas. On what base is each rate applied?
2. Under which method can book value reach zero, and under which can it never?
3. Which method does the Income Tax Act recognise?
4. State the repairs argument for WDV in two sentences
5. Cost ₹2,00,000, WDV at 10%. What is the depreciation in year three?

3. Session 3 — Legal Framework and Treatment ★★★★☆

3.1 The standard and the statute

- **AS 10, Property, Plant and Equipment**, governs depreciation. It **absorbed the withdrawn AS 6,

Depreciation Accounting** — the point already flagged in F6.2 §6.3

- **Schedule II of the Companies Act, 2013** prescribes **useful lives**, not rates. This changed the

earlier approach under the Companies Act, 1956, whose Schedule XIV gave **rates**

- Under Schedule II the **residual value is normally not to exceed 5% of the original cost**

> **MUST MASTER · TWO CHANGES THAT MAKE GOOD "NOT CORRECT" OPTIONS**
>
> 1. **Schedule II gives useful lives, Schedule XIV gave rates.** Any option saying the Companies Act, 2013 prescribes rates of depreciation is wrong
> 2. **A change in the method of depreciation is now a change in an accounting ESTIMATE, applied PROSPECTIVELY.** Under the older treatment it was a change in accounting *policy*, applied retrospectively by recomputing depreciation from the date of purchase. Revised AS 10 changed this. An option saying such a change is applied retrospectively is wrong
>
> Residual value **5%** is the kind of precise figure Blueprint §8 warns about — options will offer 1%, 5%, 10% and 15%.

3.2 The two ways to record it

Method	Entry	Balance sheet shows
Charged to the asset account	Depreciation A/c **Dr**, Asset A/c **Cr**	Asset at its **written down value**
Provision for Depreciation Account	Depreciation A/c **Dr**, Provision for Depreciation A/c **Cr**	Asset at **original cost**, less accumulated provision

The second is preferred in practice because the original cost stays visible. Either way, depreciation is **debited to the Profit and Loss Account** — and, as F6.3 §6.1 established, **depreciation is a provision, not a reserve**: a charge against profit that must be made even in a loss year.

3.3 Profit or loss on sale of a fixed asset

Compare **sale proceeds** with the **written down value** on the date of sale:

- Proceeds **above** WDV » **profit** on sale » credited to P&L, and it is a **capital profit**

- Proceeds **below** WDV » **loss** on sale » debited to P&L

> Machine bought 1 April 2021 for ₹2,00,000, depreciated at 10% on SLM, sold 31 March 2024 for ₹1,50,000. Depreciation = ₹20,000 a year × 3 years = ₹60,000. WDV = ₹1,40,000. Proceeds ₹1,50,000 - WDV ₹1,40,000 = **profit of ₹10,000**

CHECK YOURSELF · SESSION 3

1. Which AS governs depreciation, and which standard did it absorb?
2. Does Schedule II prescribe rates or useful lives? What did Schedule XIV prescribe?
3. What is the normal maximum residual value under Schedule II?
4. Is a change in the method of depreciation applied prospectively or retrospectively now?
5. Is depreciation a provision or a reserve?

4. Session 4 — Goodwill ★★★★★

4.1 What it is

Goodwill is the value of a firm's **reputation and connections** — the reason a business earns more than a comparable business with the same assets. Formally, it is the **present value of a firm's anticipated excess earnings**.

> **MUST MASTER · THREE FACTS ABOUT THE NATURE OF GOODWILL**
>
> 1. **Goodwill is intangible but NOT fictitious.** It has no physical form but it has value and can be sold. This is the F6.3 §4.2 trap in its most common form — "goodwill is a fictitious asset" is **false**
> 2. Under **AS 26, Intangible Assets**, only **purchased goodwill** is recognised in the books. **Self-generated (inherent) goodwill is NOT recorded** — because no reliable cost can be attributed to it, and recording it would breach the objectivity concept from F6.2 §3.5
> 3. Goodwill needs to be **valued** on the admission, retirement or death of a partner, on a change in the profit-sharing ratio, on amalgamation, and on the sale or valuation of a business

Factors affecting goodwill: favourable location; nature of the business; **efficiency of management**; quality of the product; monopoly or market position; patents and trademarks; length of time established; capital required; degree of risk; customer relations.

4.2 The four valuation methods

Method 1 — Average Profit.

> **Goodwill = Average profit × Number of years' purchase**

> Profits ₹40,000, ₹50,000, ₹60,000. Average = ₹50,000. At 3 years' purchase: Goodwill = **₹1,50,000**

Where profits show a clear trend, a **weighted** average is used — the most recent year gets the highest weight.

Method 2 — Super Profit. The insight is that only *excess* earnings create goodwill.

> **Normal profit = Capital employed × Normal rate of return Super profit = Average (or actual) profit - Normal profit Goodwill = Super profit × Number of years' purchase**

> Capital employed ₹5,00,000, normal rate 10%, average profit ₹70,000. Normal profit = ₹50,000. Super profit = **₹20,000**. At 3 years' purchase: Goodwill = **₹60,000**

Method 3 — Capitalisation. Two forms, and the exam distinguishes them:

> **(a) Capitalisation of average profit** Capitalised value of the business = Average profit × 100 / Normal rate of return **Goodwill = Capitalised value - Net assets (capital employed)**
>
> **(b) Capitalisation of super profit Goodwill = Super profit × 100 / Normal rate of return**

> Super profit ₹20,000, normal rate 10% » Goodwill = 20,000 × 100/10 = **₹2,00,000**

Method 4 — Annuity.

> **Goodwill = Super profit × Annuity factor** (the present value of ₹1 a year for n years at the given rate)

This is the only method that discounts future super profits to present value, which is why it gives the lowest figure of the four.

MEMORY TECHNIQUE · WHICH FORMULA THE STEM IS ASKING FOR

Read for two signals — the **multiplier** and the **base**:

If the stem says	Use
"...years' purchase of **average** profit"	Average profit × years
"...years' purchase of **super** profit"	Super profit × years
"**capitalisation** of super profit"	Super profit × **100/NRR**
"**capitalisation** of average profit"	(Average profit × 100/NRR) **- net assets**
"**annuity**"	Super profit × annuity factor

The commonest error is using 100/NRR when the stem said "years' purchase", or forgetting to subtract net assets in capitalisation of average profit. **Capital employed = total assets excluding goodwill and fictitious assets, less outside liabilities.**

CHECK YOURSELF · SESSION 4

1. Is goodwill fictitious? Under AS 26, which goodwill is recorded and which is not, and why?
2. Name five occasions when goodwill must be valued
3. Give the formula for super profit and for normal profit
4. State both capitalisation formulas and the difference between them
5. Capital employed ₹8,00,000, normal rate 12%, average profit ₹1,20,000. Goodwill at 2 years' purchase of super profit?

5. Session 5 — Inventory Valuation under AS 2 ★★★★★

5.1 The rule, which is prudence in one line

MUST MASTER · LOWER OF COST AND NET REALISABLE VALUE

Under **AS 2, Valuation of Inventories**, inventories are measured at the **lower of cost and net realisable value**.

This is the **conservatism** convention from F6.2 §4.4 in its purest form: an anticipated loss is recognised at once by writing the stock down, while an anticipated gain is never recognised, because stock is never carried above cost.

Net realisable value = Estimated selling price - Estimated costs of completion - Estimated costs necessary to make the sale.

Note what NRV is **not**: it is not market price, and it is not replacement cost. Both appear as distractors.

Inventories comprise goods held for sale in the ordinary course of business, goods in the process of production, and materials and supplies to be consumed in production.

5.2 What goes into cost, and what is kept out

Included in cost	Excluded from cost
Purchase price	**Abnormal waste**
Duties and taxes **not recoverable**	**Storage costs**, unless necessary to the production process
Freight inwards, carriage, handling	Administrative overheads not contributing to bringing stock to its present condition
Conversion costs — direct labour and production overheads	**Selling and distribution costs**
Other costs to bring stock to its present **location and condition**	Trade discounts, rebates and duty drawbacks are **deducted**

COMMON UPSC TRAP · SELLING COSTS ARE NEVER PART OF COST

The cleanest question in this area asks which item is excluded from the cost of inventories, and the answer is **selling and distribution costs**.

The logic is worth holding rather than memorising: cost includes what was needed to get the goods **to their present location and condition**. Selling costs are incurred to get them *out*, so they lie on the far side of that line. Note the neat parallel with F6.3 §2.3 — carriage **inwards** is in, carriage **outwards** is out, on both occasions.

5.3 The cost formulas, and the one that is banned

Formula	Permitted under AS 2?
FIFO — first in, first out	**Yes**
Weighted average cost	**Yes**
Specific identification — for items not ordinarily interchangeable	**Yes**, and required for such items
LIFO — last in, first out	**NO — not permitted**

MUST MASTER · LIFO IS NOT PERMITTED UNDER AS 2

This is a single, hard, examinable fact, and it is the sort of thing a "which of the following is a permitted cost formula" question is built on.

The reasoning, if you want it: LIFO leaves the **oldest** costs in the closing stock figure, so the balance sheet carries inventory at prices that may be years out of date. FIFO does the opposite — closing stock reflects the most **recent** purchases.

Which gives you the standard rising-prices conclusion: in a period of **rising prices, FIFO produces a higher closing stock value and therefore a higher profit.** LIFO would produce the reverse, which is part of why it was disallowed.

Standard cost and the **retail method** are permitted as *techniques* only if their results approximate actual cost.

5.4 The effect of getting it wrong

Since closing stock sits on the **credit** of the Trading Account (F6.3 §5.2), it works directly on profit:

	Current year's profit	Next year's profit
Closing stock **overvalued**	**Overstated**	Understated — it becomes next year's opening stock
Closing stock **undervalued**	**Understated**	Overstated

The error is self-correcting over two years, but wrong in each of them

Systems of recording: a **periodic** system determines stock by physical counting at the period end; a **perpetual** system maintains continuous records so that the figure is available at any moment.

CHECK YOURSELF · SESSION 5

1. State the AS 2 measurement rule and the NRV formula. What is NRV *not*?
2. Give four items included in cost and four excluded
3. Which cost formulas are permitted? Which is not?
4. In rising prices, what does FIFO do to closing stock and profit?
5. If closing stock is undervalued, what happens to this year's and next year's profit?

6. Graded Practice — 30 Questions ★★★★★

6.1 Level 1 — Recognition

Q1. Depreciation is best described as a process of (a) valuation (b) allocation (c) accumulation (d) appropriation

Q2. Which one of the following is **not** a cause of depreciation? (a) Wear and tear through use (b) Efflux of time (c) Obsolescence (d) An increase in the asset's market value

Q3. Under the straight line method, the amount of depreciation charged each year (a) remains the same (b) decreases every year (c) increases every year (d) fluctuates with output

Q4. Under the written down value method, depreciation is calculated on the (a) original cost (b) residual value (c) opening book value (d) current market value

Q5. The method of depreciation recognised by the Income Tax Act is the (a) straight line method (b) written down value method (c) annuity method (d) revaluation method

Q6. Schedule II of the Companies Act, 2013 prescribes (a) useful lives of assets (b) rates of depreciation (c) methods of depreciation only (d) residual values only

Q7. The writing off of the cost of an **intangible** asset is called (a) depletion (b) dilapidation (c) obsolescence (d) amortisation

Q8. Under AS 26, goodwill is recorded in the books (a) in all circumstances (b) only if it is self-generated (c) only if it is purchased (d) never

Q9. Goodwill is (a) a fictitious asset (b) an intangible but real asset (c) a current asset (d) a wasting asset

Q10. Under AS 2, inventories are valued at (a) the lower of cost and net realisable value (b) cost in all cases (c) net realisable value in all cases (d) current market price

6.2 Level 2 — Understanding

Q11. Which one of the following cost formulas is **not** permitted under AS 2? (a) First in, first out (b) Weighted average cost (c) Last in, first out (d) Specific identification

Q12. Which one of the following is **excluded** from the cost of inventories? (a) Freight inwards (b) Conversion costs (c) Duties and taxes not recoverable (d) Selling and distribution costs

Q13. A machine costs ₹1,00,000, has an estimated scrap value of ₹10,000 and a useful life of 9 years. Annual depreciation under the straight line method is (a) ₹10,000 (b) ₹11,111 (c) ₹9,000 (d) ₹12,000

Q14. A machine costing ₹1,00,000 is depreciated at 10% on the written down value. The depreciation for the **third** year is (a) ₹10,000 (b) ₹8,100 (c) ₹9,000 (d) ₹7,290

Q15. Under the written down value method, the book value of an asset (a) becomes zero at the end of its useful life (b) becomes negative in later years (c) never becomes zero (d) remains equal to cost throughout

Q16. The average profit of a firm is ₹50,000 and goodwill is to be valued at 3 years' purchase of average profit. Goodwill is (a) ₹1,50,000 (b) ₹50,000 (c) ₹1,00,000 (d) ₹2,00,000

Q17. Capital employed is ₹5,00,000, the normal rate of return is 10% and the average profit is ₹70,000. The super profit is (a) ₹70,000 (b) ₹50,000 (c) ₹1,20,000 (d) ₹20,000

Q18. Super profit is ₹20,000 and the normal rate of return is 10%. Goodwill by the capitalisation of super profit is (a) ₹20,000 (b) ₹2,00,000 (c) ₹60,000 (d) ₹2,20,000

Q19. If closing stock is overvalued, the profit of the current year is (a) understated (b) unaffected (c) overstated (d) converted into a loss

Q20. In a period of **rising** prices, the FIFO method results in (a) a higher closing stock value and a higher profit (b) a lower closing stock value and a lower profit (c) no effect on either (d) closing stock being valued at the oldest prices

6.3 Level 3 — Recruitment Test standard

Q21. Which one of the following statements about depreciation is **not** correct? (a) It is a non-cash expense (b) It must be charged even if the year results in a loss (c) It is a process of allocation and not of valuation (d) Its purpose is to show the asset at its current market value

Q22. Consider the following statements:

1. Under the straight line method the depreciation charge is constant, while repairs generally increase as the asset ages.
2. Under the written down value method the total of depreciation and repairs tends to be more uniform over the asset's life.
3. Under the straight line method the book value of an asset can never become zero.

Which of the above statements are correct? (a) 1 only (b) 1 and 2 only (c) 2 and 3 only (d) 1, 2 and 3

Q23. Match List-I with List-II and select the correct answer using the code given below:

List-I	List-II
A. Depreciation	1. Intangible assets
B. Amortisation	2. Tangible fixed assets
C. Depletion	3. Wasting assets such as mines
D. Obsolescence	4. Becoming outdated through technological change

(a) A-1 B-2 C-3 D-4 (b) A-2 B-3 C-1 D-4 (c) A-2 B-1 C-3 D-4 (d) A-3 B-1 C-2 D-4

Q24. A machine bought on 1 April 2021 for ₹2,00,000 is depreciated at 10% on the straight line method. It is sold on 31 March 2024 for ₹1,50,000. The result on sale is (a) a profit of ₹10,000 (b) a loss of ₹10,000 (c) a profit of ₹20,000 (d) a loss of ₹50,000

Q25. Consider the following statements about goodwill:

1. Self-generated goodwill is not recorded in the books under AS 26.
2. Goodwill is a fictitious asset.
3. Goodwill may require valuation on the admission of a partner.

Which of the above statements are correct? (a) 1 and 2 only (b) 2 and 3 only (c) 1, 2 and 3 (d) 1 and 3 only

Q26. Net realisable value means (a) the current market price of the goods (b) the estimated selling price less the estimated costs of completion and the estimated costs necessary to make the sale (c) cost plus a normal profit margin (d) the replacement cost of the inventory

Q27. Capital employed is ₹8,00,000 and the normal rate of return is 12%. The average profit is ₹1,20,000. Goodwill at 2 years' purchase of super profit is (a) ₹24,000 (b) ₹96,000 (c) ₹48,000 (d) ₹2,40,000

Q28. Which one of the following statements is **not** correct? (a) Under the revised AS 10, a change in the method of depreciation is applied retrospectively (b) Depreciation is charged on the depreciable amount, being cost less residual value (c) Schedule II of the Companies Act, 2013 prescribes useful lives rather than rates (d) Depreciation is a provision and not a reserve

Q29. Consider the following statements about AS 2:

1. Inventories are measured at the lower of cost and net realisable value.
2. Selling and distribution costs are included in the cost of inventories.
3. Last in, first out is a permitted cost formula.

Which of the above statements are correct? (a) 1, 2 and 3 (b) 1 and 2 only (c) 2 and 3 only (d) 1 only

Q30. Under Schedule II of the Companies Act, 2013, the residual value of an asset is normally not to exceed (a) 10% of original cost (b) 5% of original cost (c) 1% of original cost (d) 15% of original cost

7. Answers and Explanations

7.1 Level 1

Q	Ans	Explanation
1	b	**Allocation.** Depreciation spreads a cost already incurred over the periods benefiting from it. It does not attempt to value the asset
2	d	An **increase** in market value is not a cause of depreciation — and it does not remove the need to charge it, because depreciation is allocation not valuation
3	a	**Constant**, because the rate is applied to the unchanging original cost
4	c	The **opening book value**, which shrinks each year, so the charge falls
5	b	**WDV** is the method recognised by the Income Tax Act
6	a	**Useful lives.** Schedule XIV of the Companies Act, 1956 gave **rates** — the change is examinable
7	d	**Amortisation** for intangibles; depletion for wasting assets; depreciation for tangibles
8	c	**Only purchased goodwill.** Self-generated goodwill has no reliable cost, so recording it would breach objectivity
9	b	**Intangible but real** — it has value and can be sold. "Fictitious" is the standard wrong option
10	a	The **lower of cost and net realisable value** — conservatism in one line

7.2 Level 2

Q	Ans	Explanation
11	c	**LIFO is not permitted** under AS 2. FIFO, weighted average and specific identification all are
12	d	**Selling and distribution costs.** Cost covers bringing stock to its present location and condition; selling costs are incurred to move it out
13	a	(1,00,000 - 10,000) ÷ 9 = **₹10,000**. Option (b) divides the full cost by 9, forgetting residual value
14	b	Year 1 ₹10,000 (BV 90,000); year 2 ₹9,000 (BV 81,000); year 3 = 10% of 81,000 = **₹8,100**
15	c	**Never zero**, because a percentage of a positive number is always positive. It is **SLM** whose book value can reach zero — candidates reverse this
16	a	50,000 × 3 = **₹1,50,000**
17	d	Normal profit = 5,00,000 × 10% = ₹50,000. Super profit = 70,000 - 50,000 = **₹20,000**
18	b	Capitalisation of **super** profit = 20,000 × 100/10 = **₹2,00,000**. Option (c) applies "3 years' purchase" instead
19	c	**Overstated.** Closing stock sits on the **credit** of the Trading Account, so inflating it inflates gross profit
20	a	FIFO leaves the **most recent** and therefore highest costs in closing stock, so stock and profit are both higher

7.3 Level 3

Q	Ans	Explanation
21	d	Depreciation does **not** aim to show market value — it is allocation, not valuation. The other three are all correct, including that it must be charged in a loss year because it is a **provision**
22	b	**1 and 2 only.** Statement 3 is false and is the reversal trap: under **SLM** book value *can* reach zero; it is **WDV** that never does. Statements 1 and 2 together are the repairs argument for WDV
23	c	**A-2** depreciation for tangibles; **B-1** amortisation for intangibles; **C-3** depletion for wasting assets; **D-4** obsolescence is a cause
24	a	Depreciation ₹20,000 a year × 3 = ₹60,000, so WDV = ₹1,40,000. Proceeds ₹1,50,000 exceed WDV by **₹10,000 profit**. Comparing proceeds with *cost* instead of WDV gives the ₹50,000 loss distractor
25	d	**1 and 3 only.** Statement 2 is false — goodwill is intangible but **real**, not fictitious
26	b	Estimated selling price **less** costs of completion and costs necessary to make the sale. NRV is neither market price (a) nor replacement cost (d)
27	c	Normal profit = 8,00,000 × 12% = ₹96,000. Super profit = 1,20,000 - 96,000 = ₹24,000. Goodwill = 24,000 × 2 = **₹48,000**. Option (d) capitalises instead of multiplying by years
28	a	Under the **revised AS 10** a change in the depreciation method is a change in an **accounting estimate**, applied **prospectively** — not retrospectively. The other three are correct
29	d	**1 only.** Statement 2 is false — selling costs are excluded. Statement 3 is false — LIFO is not permitted
30	b	**5% of original cost** is the normal maximum residual value under Schedule II

THINK LIKE UPSC · THE THREE SHAPES IN THIS CHAPTER

1. **The reversal.** Q15 and Q22 both depend on knowing that **SLM can reach zero and WDV cannot**. Whenever a stem mentions book value at the end of life, check which method you are in
2. **The formula swap.** Q18 and Q27 offer each other's answers. "Years' purchase" means **multiply by the years**; "capitalisation" means **multiply by 100/NRR**. The wrong option is always the other formula correctly computed, so knowing the arithmetic will not save you — only reading the stem will
3. **The valuation-versus-allocation family.** Q1, Q2 and Q21 are the same idea asked three ways. One sentence answers all of them

8. One-Minute Revision

ONE-MINUTE REVISION · CHAPTER F6.4

DEPRECIATION IS ALLOCATION, NOT VALUATION · non-cash expense · a **provision**, charged even in a loss year · added back in the cash flow statement

CAUSES wear and tear · efflux of time · obsolescence · depletion · accident

THREE FACTORS cost (including installation) · useful life · residual value · **depreciable amount = cost - residual value**

FOUR WORDS depreciation = **tangible** · amortisation = **intangible** · depletion = **wasting assets** · obsolescence = a **cause**

SLM = (Cost - Scrap) ÷ Life · rate on **original cost** · charge **constant** · book value **can reach zero**

WDV = rate × **opening book value** · charge **falls** · book value **never zero** · recognised by the **Income Tax Act** · rate $r = [1 - (S/C)^{(1/n)}] \times 100$

REPAIRS ARGUMENT repairs rise with age · SLM flat depreciation + rising repairs = rising burden · WDV falling depreciation + rising repairs = **uniform burden**

LEGAL AS 10 governs, absorbed the withdrawn **AS 6** · **Schedule II** gives **useful lives** (Schedule XIV gave **rates**) · residual value normally □ **5%** of cost · change of method = change of **estimate**, applied **prospectively**

SALE OF ASSET compare proceeds with **WDV**, not cost · above = profit, below = loss

GOODWILL intangible but **REAL** · **AS 26**: only **purchased** goodwill recorded, self-generated **not** · valued on admission, retirement, death, change in ratio, amalgamation, sale

GOODWILL FORMULAS average profit × years · **super profit = average profit - (capital employed × NRR)** · super profit × years · **capitalisation of super profit = super profit × 100/NRR** · capitalisation of average profit = (average profit × 100/NRR) **- net assets** · annuity = super profit × annuity factor

AS 2 inventories at the **lower of cost and NRV** · **NRV = selling price - costs of completion - costs to make the sale** · not market price, not replacement cost

IN COST purchase price · non-recoverable duties · freight inwards · conversion costs **OUT OF COST** abnormal waste · storage (unless necessary) · admin overheads · **selling and distribution**

COST FORMULAS FIFO □ · weighted average □ · specific identification □ · **LIFO □ not permitted**

RISING PRICES FIFO » higher closing stock » **higher profit**

MISVALUATION closing stock overvalued » profit **overstated** this year, understated next · self-correcting over two years

9. Five-Minute Wall Sheet

FIVE-MINUTE WALL SHEET · CHAPTER F6.4

ALLOCATION NOT VALUATION — the one sentence that answers a whole family of options

SLM CAN HIT ZERO · WDV NEVER CAN — the most reversed fact in the chapter

WDV = INCOME TAX ACT · **SCHEDULE II = USEFUL LIVES** (not rates) · **RESIDUAL ▯ 5%**

CHANGE OF METHOD = ESTIMATE = PROSPECTIVE (revised AS 10)

AS 10 ABSORBED AS 6

SALE: COMPARE WITH WDV, NOT COST

GOODWILL IS REAL, NOT FICTITIOUS · **AS 26: PURCHASED ONLY**

SUPER PROFIT = AVERAGE PROFIT - (CAPITAL EMPLOYED × NRR)

"YEARS' PURCHASE" » × YEARS · "CAPITALISATION" » × 100/NRR — the swap is the trap

CAPITALISATION OF AVERAGE PROFIT: REMEMBER TO SUBTRACT NET ASSETS

AS 2: LOWER OF COST AND NRV · NRV = SP - completion - costs to sell

LIFO IS BANNED · FIFO and weighted average permitted

SELLING COSTS ARE NEVER IN COST — same logic as carriage outwards

RISING PRICES » FIFO » HIGHER STOCK, HIGHER PROFIT

OVERVALUED CLOSING STOCK » PROFIT OVERSTATED

ONE LINE FOR THE INTERVIEW All three topics in this chapter are one idea in three costumes: cost must be allocated to the periods that benefit from it, never anticipated as a gain — which is why depreciation spreads cost, why inventory is capped at the lower of cost and realisable value, and why only purchased goodwill is ever recognised.

ACTION · NEXT IN THE FOUNDATION TRACK

Chapter F6.5 — Ratio Analysis and Cash Flow. It uses everything from F6.3 and F6.4: ratios are computed from the final accounts you can now prepare, and the cash flow statement begins by adding back the depreciation you have just learned to charge.

Before you move on, state without looking: the allocation sentence; which method's book value can reach zero; the super profit formula; the two capitalisation formulas and their difference; the AS 2 measurement rule; and which cost formula is not permitted.